PREFACE

ASSET MANAGEMENT

The two most important words in investing are *bad times*.

That notion—that bad times are paramount—is the guiding principle of this book, and it is based on more than a half century of financial theory. I offer a systematic approach to the age-old problem of where do you put your money? My experience as a finance professor and an advisor to sovereign wealth funds, asset management firms, and other firms in the finance industry has led me to see that the narrow approach focusing only on asset classes (usually with mean-variance optimizers) is too crude, misses the economics of why assets earn returns, and is ultimately too costly to serve investors adequately. I focus instead on "factor risks," the sets of hard times that span asset classes, which must be the focus of our attention if we are to weather market turmoil and receive the rewards that come with doing so.

The essential problem is that asset owners—from a modest household to sovereign wealth funds entrusted with the savings of a nation—generally feel the pain of bad times much more acutely than they do the elation of good times. Different investors each have their own set of bad times defined by their liabilities, income streams, constraints and beliefs, and how they perceive and react to different kinds of risks. Bad times are more than just periods when your wealth has taken a hit: you can still be rich and encounter bad times if your consumption drops below what you are used to, or if your competitor generates a higher return than your portfolio. As investors move through their life cycles and as they dynamically invest over long horizons, their set of bad times can change. Optimal portfolio allocation involves taking into account an investor's bad times, and accepting the risks of these bad times in exchange for the compensation of factor premiums, which aren't available without taking risk. Holding diversified portfolios lessens the impact of bad times because there is a possibility that some assets will have high returns when the bad times hit. This describes Part I of the book.